

Annual Report FY2025

Veritas Forge Industries Ltd

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1. Chairman's Overview

Veritas Forge Industries Ltd delivered a strong FY2025 (April 2024 to March 2025). Revenue rose from Rs 125.0 crore in FY2024 to Rs 148.2 crore in FY2025, growth of 18.56 percent, driven by higher production volumes, a richer product mix and improved pricing on precision components.

The board approved capacity additions on Line B and a stronger quality programme after defect rates increased in the second quarter. The company remains focused on automotive, energy and rail customers.

2. Management Discussion and Analysis

Demand from automotive and energy customers remained firm throughout the year. The second shift introduced on Line B in the second quarter lifted output but also coincided with higher defects and machine downtime, which management has addressed through tool-life controls and additional first-article inspection.

Operating expenses grew more slowly than revenue, expanding the EBITDA margin. Management expects continued margin support in FY2026 from fixed-cost absorption, subject to raw-material prices.

The company's FY2026 operating expense budget is Rs 128.0 crore against Rs 112.5 crore of actual expenses in FY2025, reflecting planned growth investments in quality, R&D; and IT.

3. Financial Results

All figures are in Rs crore unless stated. FY2024 comparatives are as restated. EBITDA is earnings before interest, tax, depreciation and amortisation.

3.1 Consolidated Income Statement

Metric	FY2024	FY2025
Revenue	125.0	148.2
Operating Expenses	96.6	112.5
EBITDA	28.4	35.7
Net Profit	14.2	18.6

3.2 Quarterly Revenue and EBITDA

Metric	Q1	Q2	Q3	Q4
Revenue FY2024	29.8	31.8	32.2	31.2
Revenue FY2025	35.0	37.7	38.7	36.8
EBITDA FY2024	6.5	7.3	7.4	7.2
EBITDA FY2025	8.7	9.2	9.1	8.7

3.3 Monthly Revenue, EBITDA and Net Profit

Month	Revenue FY2024	Revenue FY2025	EBITDA FY2024	EBITDA FY2025	Net Profit FY2024	Net Profit FY2025
Apr	9.4	10.8	2.0	2.7	1.0	1.4
May	10.0	11.9	2.2	2.9	1.2	1.5

Month	Revenue FY2024	Revenue FY2025	EBITDA FY2024	EBITDA FY2025	Net Profit FY2024	Net Profit FY2025
Jun	10.4	12.3	2.3	3.1	1.2	1.5
Jul	10.2	12.6	2.4	3.1	1.2	1.6
Aug	10.2	12.3	2.5	3.0	1.2	1.5
Sep	11.4	12.8	2.4	3.1	1.2	1.6
Oct	11.3	13.5	2.5	3.2	1.2	1.7
Nov	10.6	12.8	2.5	3.0	1.3	1.6
Dec	10.3	12.4	2.4	2.9	1.2	1.6
Jan	9.5	11.9	2.3	2.8	1.1	1.5
Feb	10.3	11.9	2.3	2.8	1.2	1.5
Mar	11.4	13.0	2.6	3.1	1.2	1.6

4. Profitability and Margins

EBITDA margin improved from 22.72 percent in FY2024 to 24.09 percent in FY2025 as fixed costs were spread over higher volumes. Net profit grew 30.99 percent.

4.1 Key Ratios

Ratio	FY2024	FY2025
EBITDA Margin (%)	22.72	24.09
Net Margin (%)	11.36	12.55

5. Segment Performance

Revenue by product family is shown below. Precision Shafts remained the largest family. All families grew except where noted.

5.1 Revenue by Product Family

Product Family	FY2024 Revenue (Rs crore)	FY2025 Revenue (Rs crore)	Growth (%)
Precision Shafts	22.5	26.8	19.11
Gear Blanks	17.4	21.1	21.26
Bearing Housings	14.8	18.4	24.32
Hydraulic Manifolds	14.0	16.1	15.00
Valve Bodies	12.6	14.2	12.70
Flanges & Couplings	11.4	13.6	19.30
Turbine Components	10.3	11.6	12.62
Brake Discs	8.6	10.1	17.44
Pump Casings	7.3	8.7	19.18
Custom Tooling	6.1	7.6	24.59

6. Balance Sheet and Cash Flow

Total assets stood at Rs 212.4 crore at the end of FY2025 against Rs 188.9 crore a year earlier. Borrowings were reduced to Rs 31.5 crore.

6.1 Balance Sheet Highlights

Item	FY2024	FY2025
Total Assets	188.9	212.4
Borrowings	38.2	31.5
Shareholders Equity	96.0	114.6

6.2 Cash Flow Summary

Item	FY2024	FY2025
Cash from Operations	21.7	29.4
Capital Expenditure	12.3	16.8
Free Cash Flow	9.4	12.6

7. People and Operations

Employee attrition fell from 14.8 percent to 11.2 percent. Year-end headcount rose to 1925 from 1840. Manufacturing output reached 190,800 units across three production lines. See the Manufacturing and HR reports for detail.

8. Risk Management

Key risks include raw-material price volatility, concentration of customers in automotive supply chains, quality escapes and key-person dependency. Management reviews risk registers quarterly and reports to the Audit Committee.

9. Corporate Governance

The Board comprises seven directors, four of them independent. The Audit Committee met six times during FY2025.

9.1 Board Committees

Committee	Members	Meetings in FY2025
Audit	4	6
Nomination and Remuneration	3	4
Risk Management	4	4
Stakeholders Relationship	3	2

10. Notes to Accounts

Note 1 Basis of preparation: the financial statements are prepared under the historical cost convention in accordance with applicable accounting standards.

Note 2 Inventories are valued at the lower of cost and net realisable value; cost is determined on a weighted-average basis.

Note 3 Property, plant and equipment are depreciated on a straight-line basis over useful lives of 8 to 25 years; depreciation for FY2025 was Rs 9.3 crore.

Note 4 Revenue is recognised when control of goods passes to the customer, normally on dispatch.

Note 5 Employee benefits: gratuity and leave encashment are provided on actuarial valuation.

Note 6 Related-party transactions during the year were at arm's length and approved by the Audit Committee.

11. Appendix A: Customer Revenue Register

Revenue by customer for the 200 largest customer accounts; the register sums to total revenue.

11.1 Revenue by Customer

Customer	Segment	FY2024 Revenue (Rs crore)	FY2025 Revenue (Rs crore)
Apex Auto Components	Automotive	7.62	9.45
Bharat Auto Components	Energy	6.01	7.01
Crown Auto Components	Rail	5.27	5.87
Delta Auto Components	Aerospace	4.09	5.28
Eastern Auto Components	Industrial	3.59	4.03
Fulcrum Auto Components	Automotive	3.24	3.39
Globe Auto Components	Energy	2.68	3.25
Horizon Auto Components	Rail	2.61	3.19
Indus Auto Components	Aerospace	2.45	2.66
Jupiter Auto Components	Industrial	2.34	2.44
Keystone Auto Components	Automotive	1.89	2.63
Lotus Auto Components	Energy	1.85	2.34
Meridian Auto Components	Rail	1.66	2.11
Nova Auto Components	Aerospace	1.81	2.17
Orion Auto Components	Industrial	1.68	1.84
Pinnacle Auto Components	Automotive	1.39	1.87
Quantum Auto Components	Energy	1.60	1.62
Regal Auto Components	Rail	1.53	1.63
Sterling Auto Components	Aerospace	1.38	1.67
Titan Auto Components	Industrial	1.31	1.64
Apex Heavy Machinery	Automotive	1.15	1.56
Bharat Heavy Machinery	Energy	1.07	1.37
Crown Heavy Machinery	Rail	1.15	1.37
Delta Heavy Machinery	Aerospace	1.00	1.25
Eastern Heavy Machinery	Industrial	1.00	1.17
Fulcrum Heavy Machinery	Automotive	0.98	1.22
Globe Heavy Machinery	Energy	0.91	1.26
Horizon Heavy Machinery	Rail	0.96	1.22
Indus Heavy Machinery	Aerospace	0.93	1.16
Jupiter Heavy Machinery	Industrial	0.98	1.18
Keystone Heavy Machinery	Automotive	0.89	1.00
Lotus Heavy Machinery	Energy	0.89	0.95
Meridian Heavy Machinery	Rail	0.84	0.99
Nova Heavy Machinery	Aerospace	0.85	0.93
Orion Heavy Machinery	Industrial	0.80	0.89
Pinnacle Heavy Machinery	Automotive	0.75	0.91

Customer	Segment	FY2024 Revenue (Rs crore)	FY2025 Revenue (Rs crore)
Quantum Heavy Machinery	Energy	0.84	0.93
Regal Heavy Machinery	Rail	0.82	0.88
Sterling Heavy Machinery	Aerospace	0.78	0.83
Titan Heavy Machinery	Industrial	0.75	0.90
Apex Rail Systems	Automotive	0.67	0.91
Bharat Rail Systems	Energy	0.65	0.80
Crown Rail Systems	Rail	0.64	0.73
Delta Rail Systems	Aerospace	0.60	0.71
Eastern Rail Systems	Industrial	0.68	0.82
Fulcrum Rail Systems	Automotive	0.62	0.68
Globe Rail Systems	Energy	0.67	0.77
Horizon Rail Systems	Rail	0.60	0.73
Indus Rail Systems	Aerospace	0.66	0.68
Jupiter Rail Systems	Industrial	0.63	0.74
Keystone Rail Systems	Automotive	0.52	0.62
Lotus Rail Systems	Energy	0.54	0.63
Meridian Rail Systems	Rail	0.61	0.66
Nova Rail Systems	Aerospace	0.55	0.59
Orion Rail Systems	Industrial	0.60	0.68
Pinnacle Rail Systems	Automotive	0.52	0.60
Quantum Rail Systems	Energy	0.48	0.58
Regal Rail Systems	Rail	0.53	0.56
Sterling Rail Systems	Aerospace	0.54	0.62
Titan Rail Systems	Industrial	0.48	0.59
Apex Energy	Automotive	0.46	0.60
Bharat Energy	Energy	0.47	0.60
Crown Energy	Rail	0.53	0.61
Delta Energy	Aerospace	0.50	0.61
Eastern Energy	Industrial	0.43	0.58
Fulcrum Energy	Automotive	0.44	0.51
Globe Energy	Energy	0.42	0.54
Horizon Energy	Rail	0.41	0.50
Indus Energy	Aerospace	0.47	0.48
Jupiter Energy	Industrial	0.41	0.52
Keystone Energy	Automotive	0.44	0.54
Lotus Energy	Energy	0.43	0.48
Meridian Energy	Rail	0.40	0.48
Nova Energy	Aerospace	0.44	0.48
Orion Energy	Industrial	0.38	0.51
Pinnacle Energy	Automotive	0.42	0.49
Quantum Energy	Energy	0.37	0.49

Customer	Segment	FY2024 Revenue (Rs crore)	FY2025 Revenue (Rs crore)
Regal Energy	Rail	0.39	0.50
Sterling Energy	Aerospace	0.37	0.46
Titan Energy	Industrial	0.37	0.49
Apex Aerospace	Automotive	0.42	0.49
Bharat Aerospace	Energy	0.41	0.42
Crown Aerospace	Rail	0.36	0.49
Delta Aerospace	Aerospace	0.40	0.46
Eastern Aerospace	Industrial	0.35	0.41
Fulcrum Aerospace	Automotive	0.36	0.43
Globe Aerospace	Energy	0.39	0.44
Horizon Aerospace	Rail	0.37	0.46
Indus Aerospace	Aerospace	0.33	0.41
Jupiter Aerospace	Industrial	0.39	0.42
Keystone Aerospace	Automotive	0.33	0.44
Lotus Aerospace	Energy	0.33	0.43
Meridian Aerospace	Rail	0.36	0.44
Nova Aerospace	Aerospace	0.33	0.40
Orion Aerospace	Industrial	0.32	0.41
Pinnacle Aerospace	Automotive	0.31	0.37
Quantum Aerospace	Energy	0.30	0.41
Regal Aerospace	Rail	0.33	0.41
Sterling Aerospace	Aerospace	0.31	0.39
Titan Aerospace	Industrial	0.33	0.40
Apex Marine Works	Automotive	0.31	0.36
Bharat Marine Works	Energy	0.31	0.40
Crown Marine Works	Rail	0.34	0.41
Delta Marine Works	Aerospace	0.31	0.40
Eastern Marine Works	Industrial	0.31	0.37
Fulcrum Marine Works	Automotive	0.33	0.38
Globe Marine Works	Energy	0.28	0.35
Horizon Marine Works	Rail	0.28	0.38
Indus Marine Works	Aerospace	0.32	0.38
Jupiter Marine Works	Industrial	0.32	0.34
Keystone Marine Works	Automotive	0.28	0.32
Lotus Marine Works	Energy	0.27	0.34
Meridian Marine Works	Rail	0.30	0.34
Nova Marine Works	Aerospace	0.31	0.36
Orion Marine Works	Industrial	0.27	0.34
Pinnacle Marine Works	Automotive	0.31	0.30
Quantum Marine Works	Energy	0.30	0.35
Regal Marine Works	Rail	0.28	0.30

Customer	Segment	FY2024 Revenue (Rs crore)	FY2025 Revenue (Rs crore)
Sterling Marine Works	Aerospace	0.27	0.35
Titan Marine Works	Industrial	0.25	0.30
Apex Agri Equipment	Automotive	0.25	0.31
Bharat Agri Equipment	Energy	0.30	0.34
Crown Agri Equipment	Rail	0.25	0.29
Delta Agri Equipment	Aerospace	0.28	0.29
Eastern Agri Equipment	Industrial	0.25	0.31
Fulcrum Agri Equipment	Automotive	0.28	0.32
Globe Agri Equipment	Energy	0.27	0.33
Horizon Agri Equipment	Rail	0.25	0.32
Indus Agri Equipment	Aerospace	0.24	0.33
Jupiter Agri Equipment	Industrial	0.27	0.30
Keystone Agri Equipment	Automotive	0.23	0.33
Lotus Agri Equipment	Energy	0.24	0.27
Meridian Agri Equipment	Rail	0.25	0.28
Nova Agri Equipment	Aerospace	0.27	0.30
Orion Agri Equipment	Industrial	0.25	0.28
Pinnacle Agri Equipment	Automotive	0.23	0.30
Quantum Agri Equipment	Energy	0.26	0.30
Regal Agri Equipment	Rail	0.23	0.29
Sterling Agri Equipment	Aerospace	0.22	0.30
Titan Agri Equipment	Industrial	0.23	0.29
Apex Industrial Pumps	Automotive	0.24	0.27
Bharat Industrial Pumps	Energy	0.22	0.27
Crown Industrial Pumps	Rail	0.22	0.30
Delta Industrial Pumps	Aerospace	0.23	0.30
Eastern Industrial Pumps	Industrial	0.24	0.26
Fulcrum Industrial Pumps	Automotive	0.21	0.29
Globe Industrial Pumps	Energy	0.22	0.30
Horizon Industrial Pumps	Rail	0.25	0.27
Indus Industrial Pumps	Aerospace	0.25	0.27
Jupiter Industrial Pumps	Industrial	0.23	0.25
Keystone Industrial Pumps	Automotive	0.23	0.27
Lotus Industrial Pumps	Energy	0.23	0.26
Meridian Industrial Pumps	Rail	0.21	0.27
Nova Industrial Pumps	Aerospace	0.20	0.23
Orion Industrial Pumps	Industrial	0.20	0.28
Pinnacle Industrial Pumps	Automotive	0.24	0.26
Quantum Industrial Pumps	Energy	0.22	0.25
Regal Industrial Pumps	Rail	0.23	0.27
Sterling Industrial Pumps	Aerospace	0.19	0.26

Customer	Segment	FY2024 Revenue (Rs crore)	FY2025 Revenue (Rs crore)
Titan Industrial Pumps	Industrial	0.22	0.25
Apex Mining Equipment	Automotive	0.21	0.26
Bharat Mining Equipment	Energy	0.22	0.23
Crown Mining Equipment	Rail	0.20	0.25
Delta Mining Equipment	Aerospace	0.23	0.24
Eastern Mining Equipment	Industrial	0.19	0.27
Fulcrum Mining Equipment	Automotive	0.21	0.26
Globe Mining Equipment	Energy	0.21	0.23
Horizon Mining Equipment	Rail	0.22	0.24
Indus Mining Equipment	Aerospace	0.21	0.22
Jupiter Mining Equipment	Industrial	0.21	0.23
Keystone Mining Equipment	Automotive	0.21	0.25
Lotus Mining Equipment	Energy	0.22	0.25
Meridian Mining Equipment	Rail	0.19	0.23
Nova Mining Equipment	Aerospace	0.20	0.22
Orion Mining Equipment	Industrial	0.21	0.22
Pinnacle Mining Equipment	Automotive	0.21	0.24
Quantum Mining Equipment	Energy	0.19	0.25
Regal Mining Equipment	Rail	0.20	0.21
Sterling Mining Equipment	Aerospace	0.21	0.24
Titan Mining Equipment	Industrial	0.19	0.20
Apex Power Tools	Automotive	0.20	0.21
Bharat Power Tools	Energy	0.19	0.21
Crown Power Tools	Rail	0.19	0.23
Delta Power Tools	Aerospace	0.19	0.21
Eastern Power Tools	Industrial	0.17	0.21
Fulcrum Power Tools	Automotive	0.19	0.22
Globe Power Tools	Energy	0.20	0.20
Horizon Power Tools	Rail	0.20	0.23
Indus Power Tools	Aerospace	0.19	0.20
Jupiter Power Tools	Industrial	0.18	0.22
Keystone Power Tools	Automotive	0.19	0.20
Lotus Power Tools	Energy	0.18	0.20
Meridian Power Tools	Rail	0.18	0.21
Nova Power Tools	Aerospace	0.19	0.21
Orion Power Tools	Industrial	0.16	0.20
Pinnacle Power Tools	Automotive	0.19	0.21
Quantum Power Tools	Energy	0.16	0.21
Regal Power Tools	Rail	0.18	0.19
Sterling Power Tools	Aerospace	0.17	0.19
Titan Power Tools	Industrial	0.17	0.21

12. Appendix B: Operating Expense Ledger by Cost Center

Operating expenses by cost center and month for FY2025 in Rs lakh (100 lakh = 1 crore). Totals agree to the department summary below.

12.1 Department Summary

Department	FY2025 Actual (Rs crore)	FY2026 Budget (Rs crore)
Manufacturing	54.6	61.2
Quality & Safety	5.4	7.0
Maintenance	6.3	6.9
Supply Chain & Logistics	5.6	6.2
HR	8.1	8.6
Customer Support	7.9	8.6
Finance & Admin	4.5	4.8
IT	4.1	4.7
Sales & Marketing	6.8	8.0
R&D	4.6	5.6
Legal & Compliance	1.5	1.5
Facilities	3.1	4.9
Total Operating Expenses	112.5	128.0

12.2 Cost Center Ledger FY2025 (Rs lakh)

Department	Cost Center	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb
Manufacturing	Line A Machining	79	81	89	85	91	90	93	93	92	82	84
Manufacturing	Line B Machining	70	72	74	79	73	82	79	76	72	70	75
Manufacturing	Line C Machining	106	112	115	117	114	117	122	125	116	109	114
Manufacturing	Heat Treatment	60	67	70	67	70	72	77	74	67	68	64
Manufacturing	Assembly & Packing	99	98	107	102	111	115	116	117	105	104	105
Quality & Safety	Inspection Lab	11	12	12	12	13	13	13	12	12	12	11
Quality & Safety	Safety & EHS	14	15	15	16	16	16	17	17	15	15	16
Quality & Safety	Calibration	16	17	17	17	17	19	19	17	16	16	16
Maintenance	Mechanical	20	21	23	24	24	24	25	24	22	22	23
Maintenance	Electrical	16	16	17	16	18	17	18	17	17	16	16
Maintenance	Tool Room	11	12	13	12	13	14	13	13	13	12	12
Supply Chain & Logistics	Procurement	17	18	19	19	20	20	20	21	20	18	19
Supply Chain & Logistics	Warehouse	12	14	14	14	14	14	14	15	14	13	13
Supply Chain & Logistics	Outbound Logistics	13	14	14	14	14	15	14	14	14	12	13
HR	Talent & Recruitment	15	16	17	17	16	17	17	17	16	16	16
HR	Learning	21	22	24	22	24	25	26	25	23	21	23
HR	Payroll & Benefits	26	27	27	27	29	30	29	28	27	27	27
Customer Support	Tier-1 Desk	20	21	21	21	24	23	24	24	22	22	22
Customer Support	Field Service	21	23	24	24	24	25	25	26	24	23	24

Department	Cost Center	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb
Customer Support	Escalation Desk	18	19	20	20	20	20	21	20	19	19	18
Finance & Admin	Accounts	18	19	20	20	19	21	21	20	20	19	19
Finance & Admin	Treasury & Audit	16	17	18	18	18	19	19	18	17	17	17
IT	Infrastructure	19	21	22	21	21	22	22	22	20	21	21
IT	Applications	11	12	13	12	14	14	13	14	13	12	13
Sales & Marketing	Key Accounts	22	23	24	24	26	25	27	26	24	23	24
Sales & Marketing	Marketing	28	32	33	34	32	33	33	35	31	29	31
R&D	Process Engineering	20	23	24	24	23	23	26	24	22	23	23
R&D	Product Development	13	15	14	16	15	16	16	16	15	14	15
Legal & Compliance	Legal	11	12	12	13	13	14	13	13	12	12	12
Facilities	Plant Utilities	8	8	9	9	9	10	9	9	9	8	9
Facilities	Campus Services	16	16	18	17	18	18	18	17	16	16	17